Foundations of Financial Accounting (ACC107)

Lecture 9

Chapter 26 & 27

(Financial statements of limited company)

iBSS International Business School Suzhou at XJTLU 西浦国际商学院

Learning outcomes

By the end of this lecture and with your own self study you should be able to:

- Describe the different classes of companies limited by shares;
- Explain the nature and types of shares and loan capital issued;
- Explain the nature of a share premium, interim and final dividends;
- Explain the nature and types of reserves;
- Prepare the final financial statements of limited companies in a form suitable for publication;

Different accounting entities

Unincorporated Bodies

No legal identity

- Sole traders (=Sole proprietor)
- Unincorporated partnerships

Incorporated Bodies

Registered as a legal entity

- Unlimited companies

The shareholders have a joint, several and unlimited obligation to meet any insufficiency in the assets in the event of its liquidation.
Example: Credit Suisse International

- Companies limited by guarantee

Members' liability is limited to such amount as they undertake to contribute to the assets of the company in the event of its being wound up.
Example: Not-for-profit companies, sports clubs etc.

- Companies limited by shares

Companies whose liability is limited by shares *(*our main interests)*

The characteristics of companies limited by shares (1/3)

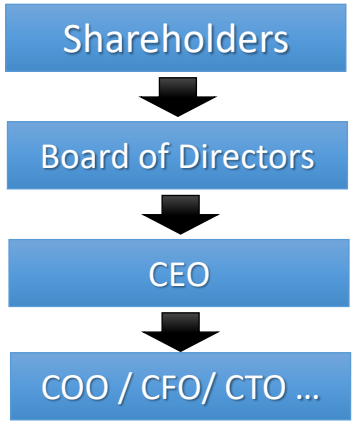
- **Separate legal entity**
  - It is an artificial person that has been created by law.
  - It must take responsibility for its own debts and losses.

- **Perpetual existence**
  - It has a separate life from its owners & managers.

The characteristics of companies limited by shares (2/3)

- **Limited liability**
  - A shareholder in a corporation or limited liability company is not personally liable for any of the debts of the company, other than for **the amount already invested in the company** and for any unpaid amount on the shares in the company, if any.

- **Voting right**
  - It is governed by a board of directors, which is elected by the shareholders.
  - Each share carries one vote.
  - Minimum of 2 shareholders; no maximum.



The characteristics of companies limited by shares (3/3)

- **Ownership is legally separated from the management.**
  - *Who runs Apple?*
    Tim Cook (The CEO of Apple since 2011)
  - *Who owns Apple?*
    Apple's shareholders
  - *Probably, you know the CEO of Apple, but you don't (need to) know all the shareholders of Apple to be an owner of Apple*
    - *All you need to do is just to buy the shares of Apple*

Classes of companies limited by shares

- **Public Limited Company (PLC)**
  1. Registered as such
  2. **Shares can be sold and traded to the public**

     Usually, their shares are tradable on exchanges such as the **London Stock Exchange (LSE) or New York Stock Exchange (NYSE)**.
  3. NOT all PLCs are listed companies

- **Private Limited Company (Ltd)**
  1. Not permitted to make a public offer of shares for sale

Companies' duties

All companies are required by law to:

1. Maintain proper 'books of account' or other records of their business transactions.

2. Prepare annual published financial statements including a statement of financial performance, a statement of financial position, a statement of cash flows and the related notes.

3. Maintain statutory books.

- ✓ Register of members
- ✓ Register of directors
- ✓ Register of secretaries
- ✓ Register of directors' usual residential addresses
- ✓ Register of people with significant control
- ✓ Minutes of directors' and shareholders' meetings and resolutions…

4. Hold an annual general meeting

The annual general meeting (AGM)

All companies are required by law to hold an annual meeting of the company's equity shareholders at which they vote on the following:

- To receive and adopt the annual published accounts – this provides an opportunity to question the directors on the contents of the accounts.
- To declare and adopt the proposed final dividend on the equity shares.
- To elect (or remove) directors.
- To appoint auditors.

In-class Q&A

Q1. Which of the following statements best describes the concept of "separation of ownership" in corporate governance?

A) Shareholders exercise day-to-day control over the company's operations.

B) Managers have full control over decision-making without accountability to shareholders.

C) The ownership of a company is separated from its control, with shareholders owning the company and managers running it.

D) Employees own the company and make all major decisions related to its business strategy.

In-class Q&A

Q2. Which of the following statements correctly describes the liability of shareholders in a company limited by shares?

A) Shareholders are personally liable for all of the company’s debts if the company cannot meet its obligations.

B) Shareholders' liability is limited to any unpaid amount on the shares they own.

C) Shareholders must contribute additional funds beyond the nominal value of their shares if the company incurs significant losses.

D) Shareholders share responsibility for the company’s debts in proportion to the number of shares they own.

Companies' sources of capital

Assets

Liabilities

- Short-term sources

Bank overdrafts

Trade credits…

- Long-term sources

Term loans

Debentures (=corporate bonds)…

Creditors / Lenders

Equity

Preference shares

Equity shares

Retained earnings…

Shareholders

Company: Retained Earning$_t$ = Retained Earning$_{t-1}$ + Profit$_t$ - Dividend$_t$

Sole trader: Retained Earning$_t$ = Retained Earning$_{t-1}$ + Profit$_t$ - Drawings$_t$

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Sources of long-term capital

- Non-current liability
  - **Debentures/loan stock (=Corporate bonds)**

AAPL 3.350 08-AUG-2032 '32 APPLE INC US / USD

Corp, Fixed Coupon, Callable, IG, Trace Eligible

B/A: 87.7970/88.0100 (+0.0410) BYld/AYld: 4.9440/4.9140 (-0.006) OAS: 78.3 10-Nov-2022 11:24 REFINITIV

Overview | All Quotes | News | Description | REPS Valuation | Schedules | Charts | Price History | Documents & Notes | Issuer | Calculators | TRACE | Related Instruments | Holdings | Research

BOND INFORMATION

PRINCIPAL / COUPON INFORMATION		ISSUANCE DETAILS	
Maturity Date / Next Call Date	08-Aug-2032 @ 100% / 10-May-2032 @ 100%	Issue Date / Price / Yield	08-Aug-2022 / 99.882% / 3.364
Principal / Coupon Currency	USD / USD	Issue Spread	78 (UST 2.875% due May 15, 2032)
Coupon Type	Fixed:Plain Vanilla Fixed Coupon	Announcement Date	01-Aug-2022
Coupon Frequency	Semiannually	Country of Risk	United States
Current Coupon / Next Pay Date	3.35000 / 08-Feb-2023	Country of Issue	United States
Dated / First / Final Coupon	08-Aug-2022 / 08-Feb-2023 / 08-Feb-2032	Market of Issue	Global
Amount Outstanding	1,500,000,000 USD	▸ Underwriters	
Par Value / Min. Denomination / Increment	1,000.00 / 2,000.00 / 1,000.00 USD	Original Issue Amount	1,500,000,000 USD
Floating Rate Note	No	Total Issue Amount	1,500,000,000 USD

- Equity

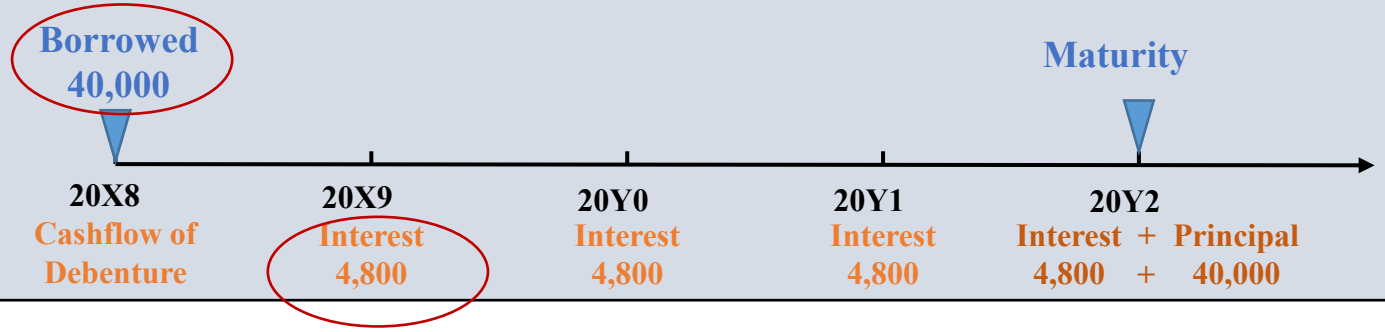
  Ordinary/equity shares

  Preference shares

The characteristics of debentures/loan stock

- Also called corporate bonds
- No voting rights
- Entitled to an interest payment which has priority over all the dividends and is charged as an expense.
- Repaid before all the shareholders in the event of liquidation.
- Normally repayable after a fixed period of time (e.g. 10, 20, 30 years) from the date of issue.
- Rights as specified in the terms of issue.
- Interest is deductible from the company's profit for tax purposes.

Assuming a 4-year debenture with 12% **annual interest rate** and 40,000 **principal**.



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The characteristics of equity shares

- Equity shareholders are the owners of the company and thus entitled to vote at general meetings (e.g. to elect directors).

- Entitled to a dividend, the amount of which is decided annually by the directors and is an appropriation of profit.

- Last to be repaid in the event of liquidation.

- Non-repayable (except on liquidation).

The characteristics of preference shares

- No voting rights.
- Usually entitled to a fixed rate of dividend which has priority over the equity dividends and is an appropriation of profit.
- Repaid before the equity shareholders in the event of liquidation.
- Non-repayable (except on liquidation).

Interim and final equity dividends

- **Dividend** - appropriation of profit after tax, not an expense
- **Interim dividend** – paid halfway through the accounting year when the profit for the first six months is known.
- **Final dividend** – additional to the interim dividend. Paid just after the end of the accounting year when the profit for the year is known.

AAPL.O APPLE INC

United States | NASDAQ Global Select Consolidated | Phones & Handheld Devi

Overview | News & Research | Price & Charts | Estimates | Financials

Issue Apple Ord Shs - AAPL.O Paym

DIVIDEND

Yield				0.66
Historical Yield	FY	0.60	5yr Av	0.76
Payout Ratio	FY	14.82	5yr Av	19.33
Coverage Ratio	FY	674.66	5yr Av	517.29
5yr DPS Growth				8.15
DPS SmartEstimate Growth				1.05

Ann. Date	Payment Type	Dividend Type	Pay Date	DPS Mean	DPS Period
27-Oct-2022	Cash Dividend	Final	10-Nov-2022	0.23	2022 Q4
28-Jul-2022	Cash Dividend	Interim	11-Aug-2022	0.23	2022 Q3
28-Apr-2022	Cash Dividend	Interim	12-May-2022	0.23	2022 Q2
27-Jan-2022	Cash Dividend	Interim	10-Feb-2022	0.22	2022 Q1
28-Oct-2021	Cash Dividend	Final	11-Nov-2021	0.22	2021 Q4
27-Jul-2021	Cash Dividend	Interim	12-Aug-2021	0.22	2021 Q3
28-Apr-2021	Cash Dividend	Interim	13-May-2021	0.22	2021 Q2
27-Jan-2021	Cash Dividend	Interim	11-Feb-2021	0.21	2021 Q1
29-Oct-2020	Cash Dividend	Final	12-Nov-2020	0.20	2020 Q4
30-Jul-2020	Cash Dividend	Interim	13-Aug-2020	0.21	2020 Q3
30-Apr-2020	Cash Dividend	Interim	14-May-2020	0.21	2020 Q2
28-Jan-2020	Cash Dividend	Interim	13-Feb-2020	0.19	2020 Q1
30-Oct-2019	Cash Dividend	Final	14-Nov-2019	0.19	2019 Q4
30-Jul-2019	Cash Dividend	Interim	15-Aug-2019	0.19	2019 Q3
30-Apr-2019	Cash Dividend	Interim	16-May-2019	0.20	2019 Q2
29-Jan-2019	Cash Dividend	Interim	14-Feb-2019	0.18	2019 Q1
01-Nov-2018	Cash Dividend	Final	15-Nov-2018	0.18	2018 Q4
31-Jul-2018	Cash Dividend	Interim	16-Aug-2018	0.18	2018 Q3
01-May-2018	Cash Dividend	Interim	17-May-2018	0.18	2018 Q2
01-Feb-2018	Cash Dividend	Interim	15-Feb-2018	0.15	2018 Q1

Sources of long-term capital - Summary

	Ordinary/ equity shares	Preference shares	Debentures/ loan stock
Voting rights	YES	NO	NO
Dividends	YES	YES (Usually fixed-rate dividends)	NO
Interests	NO	NO	YES
Priority on liquidation	Low	Medium	High
Repayable	NO	NO (Except for Redeemable preference shares)	YES

In-class Q&A

Q3. Which of the following is NOT considered a source of capital for a company?

A) Issuing new equity shares

B) Borrowing from financial institutions (debt)

C) Retained earnings from previous profits

D) Customer prepayments for future goods or services

In-class Q&A

Q4. Which of the following statements is true regarding a dividend that has been proposed but not approved by the annual board meeting?

A) The dividend is a legal obligation and must be paid to shareholders once planned.

B) The dividend is recognized as a liability on the company's balance sheet once planned.

C) The dividend is disclosed as a proposed distribution but is not a liability until the board approves it.

D) The dividend is considered income for shareholders once planned.

Statement of financial performance

- *The 1st part – Profit (or Loss) for the year*
- *The 2nd part –* ***Comprehensive Income***

Company name	
Statement of financial performance for the year ended 31 March 20X8	
	£
Revenue	XXX
Cost of sales	(XXX)
Gross profit	XXX
Other income	XX
Distribution costs	(XXX)
Administration expenses	(XXX)
Other expenses	(XXX)
Finance costs	(XXX)
Profit before tax	XX
Income tax expense	(XX)
Profit for the year	XX
Other comprehensive income	
Gains on property revaluation	XX
Other comprehensive income	XX
Total comprehensive income for the year	XXX

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Items found in the statement of profit or loss (P/L) section

Revenue/Income:

- Sales revenue

- Other income

Example: investment income

Expenditure:

- Cost of sales

- Administrative expense

Example: auditors' fees and expenses, irrecoverable receivables, changes in the allowance for irrecoverable receivables, discount allowed, directors' remuneration, office salaries, rent and rates, light and heat, telephone and postage

- Distribution costs

Example: advertising, carriage outwards, motor expenses of delivery vehicles (including depreciation, profit/losses on disposal), and any costs associated with a warehouse

- Finance costs

Example: interest on debentures and loan stock

- Company taxation

- Other expense

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Items found in other comprehensive income section

Other comprehensive income:

- Gain/loss on property revaluation

Other comprehensive income: Income that is **not realized** during the period such as holding gains (increases in value) on the valuation of non-current assets over the period being reported on.

Proforma of statement of financial performance

2 Options

1. Prepare one statement with two parts, the top part is the **statement of P/L**, the second part is the **other comprehensive income**

2. Prepare 2 statements
   - A statement of profit or loss
   - A statement of other comprehensive income

Statement of financial performance

Example: Statement of P/L of Apple Inc.

CONSOLIDATED STATEMENTS OF OPERATIONS
(In millions, except number of shares which are reflected in thousands and per share amounts)

	Years ended		
	September 26, 2020	September 28, 2019	September 29, 2018
Net sales:			
Products	$ 220,747	$ 213,883	$ 225,847
Services	53,768	46,291	39,748
Total net sales	274,515	260,174	265,595
Cost of sales:			
Products	151,286	144,996	148,164
Services	18,273	16,786	15,592
Total cost of sales	169,559	161,782	163,756
Gross margin	104,956	98,392	101,839
Operating expenses:			
Research and development	18,752	16,217	14,236
Selling, general and administrative	19,916	18,245	16,705
Total operating expenses	38,668	34,462	30,941
Operating income	66,288	63,930	70,898
Other income/(expense), net	803	1,807	2,005
Income before provision for income taxes	67,091	65,737	72,903
Provision for income taxes	9,680	10,481	13,372
Net income	$ 57,411	$ 55,256	$ 59,531

Statement of financial performance

Example: Statement of other comprehensive income of Apple Inc.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In millions)

	Years ended		
	September 26, 2020	September 28, 2019	September 29, 2018
Net income	$ 57,411	$ 55,256	$ 59,531
Other comprehensive income/(loss):			
Change in foreign currency translation, net of tax	88	(408)	(525)
Change in unrealized gains/losses on derivative instruments, net of tax:			
Change in fair value of derivatives	79	(661)	523
Adjustment for net (gains)/losses realized and included in net income	(1,264)	23	382
Total change in unrealized gains/losses on derivative instruments	(1,185)	(638)	905
Change in unrealized gains/losses on marketable debt securities, net of tax:			
Change in fair value of marketable debt securities	1,202	3,802	(3,407)
Adjustment for net (gains)/losses realized and included in net income	(63)	25	1
Total change in unrealized gains/losses on marketable debt securities	1,139	3,827	(3,406)
Total other comprehensive income/(loss)	42	2,781	(3,026)
Total comprehensive income	$ 57,453	$ 58,037	$ 56,505

In-class Q&A

Q5. Which of the following items is reported in the statement of other comprehensive income but is not included in the profit or loss section of the statement of financial performance?

A) Interest income from bonds held as held-to-maturity investments

B) Revaluation gains on property, plant, and equipment

C) Sales revenue from the sale of goods

D) Expenses related to the cost of sales

Statement of financial position (Assets section)

Company name	
Statement of financial position as at 31 March 20X8	
ASSETS	**£'000**
Non-current assets	
Property, plant and equipment	XXX
Goodwill	XX
Other intangible assets	XX
Available-for-sale investments	XX
	XXX
Current assets	
Inventories	XX
Trade receivables	XX
Other current assets	XX
Cash and cash equivalents	XX
	XXX
Total assets	XXX

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Statement of financial position (Equity and Liabilities sections)

*Equity Section

*Liability Section

EQUITY AND LIABILITIES	
Equity attributable to owners	
Share capital	XXX
Retained earnings	XX
Other components of equity	XX
Total equity	XXX
Non-current liabilities	
Long-term borrowing	XX
Deferred tax	X
Long-term provisions	XX
Total non-current liabilities	XX
Current liabilities	
Trade and other payables	XX
Short-term borrowing	XX
Current portion of long-term borrowing	XX
Current tax payable	XX
Short-term provision	XX
Total current liabilities	XXX
Total liabilities	XXX
Total equity and liabilities	XXX

Items found in the statement of financial position of companies (1/3)

Assets

- **Non-current Assets**: long-term assets that are not easily converted to cash or are not expected to become cash within next 12 months.

  Example: Property, plant & equipment, Goodwill, other intangible assets, Available-for-sale investment.

- **Current assets**: these are expected to convert to cash within next 12 months. These are parts of the business's normal operating cycle.

- Assets are listed in the **reverse order of the liquidity**

Items found in the statement of financial position of companies (2/3)

Current liabilities

- These will be settled in next 12 months
- These are parts of the business's normal operating cycle
- Example: Income tax, Debenture/loan interest accrued

Non-current liabilities:

- All liabilities other than current liabilities.
- Example: Loan stock and debentures (at nominal value)

Items found in the statement of financial position of companies (3/3)

Equity attributable to owners (=Share capital + Reserves)

- **Share capital:**

  The part of the issued/allotted share capital that the company has required the equity shareholders to pay

- **Reserves:**
  - ***Capital reserves*** (= **non-distributable** reserves)
    - Share premium
    - Revaluation reserves

    … …
  - ***Revenue reserves*** (= **distributable** reserves)
    - Retained earnings (= retained/accumulated profits)
    - General reserves (= other revenue reserves)

Share premium

Share premium – the amount by which the issue price of shares exceeds their nominal value.

Accounting entries for the issue of shares at a premium

Debit	Bank	*(proceeds of issue)*
Credit	Share capital	*(nominal value)*
Credit	Share premium	*(difference)*

(See worked example 27.1)

Share premium - Worked example 27.1 (1/3)

- Roger Ltd has ordinary equity shares with a nominal value of £1 each. On 30 June 20X9 100,000 shares were issued to a new shareholder at £2.50 each. Roger currently has 50,000 shares in issue. These had been issued at par.

Required

Illustrate how this transaction would be recorded in the ledger accounts of Roger Ltd for the year ended 31 December 20X9.

Share premium - Worked example 27.1 (2/3)

- The company will receive £250,000 in cash by bank transfer. The shares are issued at a premium of £1.50 per share, making a total premium of 150,000. The double entry to record the transaction is as follows:

Debit	Bank a/c (total amount received)	£250,000	
Credit	Share Capital a/c (nominal value)		£100,000
Credit	Share premium a/c (excess value)		£150,000

Share premium - Worked example 27.1 (3/3)

And the ledger entries are:

Bank account			
Share capital a/c	100,000		
Share premium a/c	150,000	Balance c/d	250,000
	250,000		250,000
Balance b/d	250,000		

Share capital account			
		Balance b/d	50,000
Balance c/d	150,000	Bank a/c	100,000
	150,000		150,000
		Balance b/d	150,000

£1 x 50,000 = £50,000

Share premium account			
Balance c/d	150,000	Bank a/c	150,000
	150,000		150,000
		Balance b/d	150,000

Property Revaluation

- *Recall from Lecture 1, p.28 – Measurement base*

Measurement bases

- are methods used to determine the monetary value of assets, liabilities, income and expenditure

- The methods used to determine the monetary value:
  - **Historical cost** (accounting) - **HCA**
  - Current value (market value)
    - **Fair value (accounting) - FVA**
    - Others (Value in use for assets/fulfilment value for liabilities/Current cost)

Revaluation rules

1. Revaluation is allowed when the fair value can be measured reliably.

2. 'Where a tangible non-current asset is revalued all tangible non-current assets of the same class should be revalued.' (IASB)

3. 'Revaluations should be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date.' (IASB)

Gain on Property Revaluation

Revaluation reserve – the amount by which any revaluation of non-current assets shown on the statement of financial position ***exceeds their carrying amount.***

**** Relates to Fair value measurement***

Gain on Property Revaluation

Accounting entries for Gain on Property Revaluation

Debit Property *(revaluation gain value)*

Credit Revaluation Gain *(nominal value)*

In-class Q&A

Q6. What is the accounting treatment for a revaluation surplus on property, plant, and equipment?

A) The revaluation surplus is immediately recognized in profit or loss.

B) The revaluation surplus is recognized in other comprehensive income and added to equity.

C) The revaluation surplus is recorded as a liability on the balance sheet.

D) The revaluation surplus is transferred to retained earnings when the asset is sold.

Gain on Property Revaluation - example

A non-depreciable property was purchased on 1 January 20X0 for £10,000. The property was revalued to £10,500 on 1 January 20X1. Show the treatment of the revaluation.

Debit	Property	£500	
Credit	Revaluation Gain		£500

	SPL	
P&L	Rev.	£3,000
P&L	- Exp.	(£2,000)
P&L	**= Profit for the year**	**£1,000**
Other comprehen-sive income	**Other Comprehensive Income**	
Other comprehen-sive income	**Gain on property revaluation**	**£500**
	Total Comprehensive income	**£1,500**

SOFP(c/d)	
Asset (Property: **£10,500** + T/R or Cash £1,000)	**£11,500**
Equity : Share capital	£5,000
Revaluation reserve ***(*Can't be distributed as dividends)***	**£500**
Retained profit ***(*Can be distributed as dividends)***	**£1,000**
Liability:£5,000	

** Revaluation gain is regarded as "Unrealised" "Paper profit" => Can't be distributed as dividends*

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Homework

- Review the content of this lecture
- Attempt the tutorial questions on time

Thanks for listening